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Registered number: 07920155

SABRE RETAIL FASHION LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 31 DECEMBER 2022

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SABRE RETAIL FASHION LIMITED

COMPANY INFORMATION

Directors	Peter Davies Elizabeth Houghton Lisa Agar-Rea Stuart Grant Theodore Sheppard
Company secretary	Judith Bean
Registered number	07920155
Registered office	St John's Place Easton Street High Wycombe Buckinghamshire HP11 1NL
Independent auditors	BDO LLP Statutory Auditor 55 Baker Street London United Kingdom W1U 7EU

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SABRE RETAIL FASHION LIMITED

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STRATEGIC REPORT
FOR THE PERIOD ENDED 31 DECEMBER 2022

The directors in preparing this Strategic Report, have complied with s414C of the Companies Act 2006.

Principal activity

The principal activity of the Company during the period was the design and retail of women's and children's fashion clothing, footwear and accessories through retail stores and online. Sabre Retail Fashion Limited trades as Mint Velvet for womenswear and Mint Velvet Kids for childrenswear.

Business review

The Company operates within the retail sector and despite the ongoing challenges in the economy, the Company had a successful year, with an increase in sales and profit throughout the period.

Turnover for the period was £143.7m (period ended 1 Jan 2022: £117.8m).

At the period-end Mint Velvet traded from 112 locations: 48 standalone stores, 56 concession stores and 8 websites. During the period, 6 new standalone stores and 2 concession stores were opened; in addition, 2 standalone and 4 concession stores closed.

Profit before tax for the period was £30.7m, which was an increase of 16.3% from the prior period (period ended 1 Jan 2022: £26.4m).

The company remains in a strong financial position with no external borrowing. At the period-end the net assets of the company were £53.1m (period ended 1 Jan 2022: £27.9m) of which £41.1m was Cash & Cash Equivalents (period ended 1 Jan 2022: £26.3m) and £10m held on short term deposit.

Principal risks and uncertainties

The company is largely affected by the external environment and has found the below to be key risks and uncertainties to the business:

- Changing consumer demand in light of the current economic climate. To mitigate, the Company continues to maintain flexibility in cost base where possible.
- Changes to the Northern Ireland protocol remains a risk to the business where the future trading position with the EU is still evolving. The Directors monitor this position though internal and external sources to remain compliant and informed.
- Technological risk increases as sales of our digital channel scales up. This area is monitored and managed through internal policies as well as through our third-party partners.
- Cross border activities, including changes to legislation and requirements. This is mitigated through use of third-party warehouse and logistic providers.
- Foreign currency risk could materially impact costs, which are carefully managed by the finance function.
- The company is taking steps to improve its environmental impact from suppliers, packaging and materials used within our products.

Financial risk management policies and objectives are disclosed in the Directors' Report.

Key performance indicators

The Directors use various financial and non-financial measures to assess the performance of the business. These indicators are measured at store and product level. The Directors believe that the most appropriate measure of overall business performance is earnings before interest, tax, depreciation, amortisation ('EBITDA') adjusted for currency exchange differences ('adjusted EBITDA') and adjusted EBITDA as a percentage return on turnover. Adjusting EBITDA for currency differences mirrors the measures used by Management on a day-to-day basis, which reflects a constant exchange rate.

Adjusted EBITDA for the period under review was £32.4 million (Adjusted EBITDA period ended 1 Jan 2022: £28.0 million), an increase of 15.7% on the previous period and delivered a 22.6% (period ended 1 Jan 2022: 23.8%) return on turnover.

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Profit for the period	**25,458**	*21,490*
Tax charge	**5,251**	*4,899*
Net interest expense	**(149)**	*99*
Depreciation	**1,034**	*1,063*
Amortisation	**850**	*695*
Impairment of fixed assets	**21**	*-*
Exchange differences	**(32)**	*(239)*
Adjusted EBITDA	**32,433**	*28,007*

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Turnover	**143,675**	*117,761*
Return on turnover	**22.6%**	*23.8%*

Directors' statement of compliance with duty to promote the success of the Company

Section 172 of the Companies Act 2006 requires Directors to take into consideration the interests of stakeholders and other matters in their decision-making.

The Board regularly reviews the Company's principal stakeholders and how it engages with them, stakeholders include but are not limited to:

- Shareholder(s);
- Company's employees;
- Tax authorities;
- Suppliers;
- Customers; and
- Community and the environment.

The Directors are fully aware of their responsibilities to promote the success of the Company in accordance with section 172 of the Companies Act 2006. To ensure the Company was operating in line with good corporate practice, all Directors received refresher training on the scope and application of section 172 in writing. This encouraged the Board to reflect on how the Company engages with its stakeholders and opportunities for enhancement in the future and were considered at the Company's board meeting. As required, the Company Secretary will provide support to the Board to help ensure that sufficient consideration is given to issues relating to the matters set out in s172(1)(a)-(f).

In making decisions, the Directors have considered how best to balance the needs of different stakeholders, this includes consideration such as:

- the effect on the environment;
- the effect of decisions over the longer term;
- engaging in good business conduct; and
- acting fairly between shareholders.

We aim to work responsibly with our stakeholders. The Board regularly reviews its anti-corruption and anti-bribery, equal opportunities and whistleblowing policies.

We aim to act fairly between stakeholder members for some decisions, and acknowledge that matters do not effectively map to specific 'individual' shareholders.

Engagement with Shareholders

The Company is a private company, where members of the ultimate holding company are active Board members. The immediate parent company is Mustard Global Limited, who are registered as a tax resident in the UK.

The Directors consider what is most likely to promote the success of the Company for its members in the long term through management of both capital and resources.

Engagement with employees

We aim to put our customers and people at the heart of everything we do. We take great interest in the well being of our team and allowing them to perform their role to the best of their ability.

The Board has enhanced its methods of engagement with the workforce. In that regard, the Board has appointed a Talent and Culture Director with designated responsibility for workforce engagement.

Employees are kept informed of matters of concern through regular newsletter updates from senior management, quarterly updates and brand days. These communications help achieve a common awareness

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amongst employees, updating them on the strategic direction of the Company and of the financial and economic factors impacting the performance of the business.

Engagement with authorities

We operate by respecting the local laws in the jurisdictions through which we operate, seeking and adhere to good corporate governance practices, maintaining high accounting and reporting standards.

Engagement with suppliers

We value all of our suppliers and pride ourselves on our collaborative, long-term relationships.

The Directors annually review the Modern Slavery Statement which explains the activities we have undertaken during the period to demonstrate our commitment to seeking good working practices for all throughout our supply chain. The report can be found at www.mintvelvet.co.uk.

Engagement with customers

We actively engage with our customers throughout the communities in which we trade. We encourage our retail teams to actively engage with our customers many of whom they know on a first name basis.

In our aim to monitor our effect on the environment, the Board obtained an external carbon emission report in order to present the Company's greenhouse gas emissions during the financial period. Details of this can be found within the Directors' report.

Engagement with community and environment

We care about our people and planet, which is why we're making it our mission to improve key areas of our business for a better tomorrow. We know there is much we can do, and believe it is our responsibility to use our success as a force for good.

Our 2030 sustainability strategy sets out 8 new commitments that will helps us become a more sustainable and circular business, anchored in 3 main pillars:

- People: caring for people and partners
- Planet: extending the life of our garments and protecting the planet
- Community: giving back to our community

This report was approved by the board and signed on its behalf.

DocuSigned by:
Elizabeth Houghton
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Elizabeth Houghton
Director

Date: 19 July 2023

DIRECTORS' REPORT
FOR THE PERIOD ENDED 31 DECEMBER 2022

The Directors present their report and the financial statements for the period ended 31 December 2022.

Results and dividends

The profit for the period, after taxation, amounted to £25,458k *(period ended 1 Jan 2022 - £21,490k)*.

During the period a dividend of £nil was paid (period ended 1 Jan 2022: £25,000k).

A dividend of £20,000k was paid post period end to Mustard Global Limited.

Directors

The Directors who served during the period and to date, except as noted were:

Peter Davies
Elizabeth Houghton
Lisa Agar-Rea
Stuart Grant
Theodore Sheppard (appointed 19 May 2022)

Financial risk management objectives and policies

The Company's activities expose it to a number of financial risks including foreign exchange risk, credit risk, liquidity risk and political risk. The use of financial derivatives is governed by the Company's policies approved by the Board of Directors, which provide written principles on the use of financial derivatives to manage these risks. The Company does not use derivative financial instruments for speculative purposes.

Cash flow risk

The Company's sales and purchases are made in Sterling, Euros and US Dollars and therefore it is exposed to fluctuations in these exchange rates.

If Sterling weakens against the Euro and US Dollar there is a consequent increase in raw materials bought in foreign currency which increases cost of sales. However, revenues earned in foreign currencies also appreciate when Sterling weakens from revaluation gains creating some natural currency hedge.

A treasury policy which incorporates a hedging strategy has been implemented to manage the risk of exchange rate volatility.

Credit risk

The Company's credit risk is primarily attributable to its trade receivables where the brand trades in department stores. Credit control is monitored by the finance team and managed by the Senior Management Team.

The credit risk on liquid funds and derivative financial instruments is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The Company has a significant concentration of credit risk, with a small number of department stores.

Liquidity risk

The Company is profitable and cash generative with working capital available.

The risk around liquidity is managed through monitoring cash flow on a daily basis and strong banking relationships, with regular reviews held. Group funding is also available where necessary.

Future developments

The Directors believe the brand is in a strong position to deliver its long-term plans for growth but remain cautious and continue to adapt plans accordingly following the changes in the geopolitical developments and related cost of living increases.

The Directors plan to focus on growing the online business and plan to continue to build the store portfolio in the UK where opportunities arise.

Engagement with employees

We aim to put our customers and people at the heart of everything we do. We take great interest in the wellbeing of our team and allowing them to perform their role to the best of their ability.

The Board has enhanced its methods of engagement with the workforce. In that regard, the Board has worked closely with the Talent and Culture Director who has designated responsibility for workforce engagement.

Employees are kept informed of matters of concern through regular newsletter updates from senior management, quarterly updates and brand days. These communications help achieve a common awareness amongst employees, updating them on the strategic direction of the Company and of the financial and economic factors impacting the performance of the business.

Disabled employees

Applications for employment by disabled persons are always fully considered, bearing in mind the abilities of the applicant concerned. In the event of members of staff becoming disabled every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged. It is the policy of the Company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Qualifying third party indemnity provisions

The Company has made qualifying third party indemnity provisions for the benefit of its Directors which were made during the period and remain in force at the date of this report.

Branches outside the United Kingdom

The Company does not have any branches outside of the United Kingdom.

Greenhouse gas emissions, energy consumption and energy efficiency action

In accordance with disclosure requirements for large companies under the Companies Act 2006, the table below shows the Company's greenhouse gas emissions during the financial period. The emissions stated below cover the 12 month period from January 2022 to December 2022.

The methodology used to calculate our emissions is based on HM Government Environmental Reporting Guidelines: including streamlined energy and carbon reporting guidance (March 2019) and UK Government GHG Conversion Factors for Company Reporting.

The Company continues to work with its suppliers to reduce carbon emissions by reducing consumption and exploring alternative solutions.

To compare the emissions efficiency of the business period on period as the business changes, metrics have been used to analyse emissions and to measure progress:

	31 December 2022 Tonnes of CO2 equivalent	1 January 2022 Tonnes of CO2 equivalent
Direct emissions: combustion of fuel and operation of facilities (scope 1)	-	-
Indirect emissions: electricity, heat, steam and cooling (scope 2)	179	148
Other indirect emissions relating to electricity transmission and distribution losses travel and non-company cars (scope 3)	74	44
Total	253	192
tCO2e per employee	0.36	0.30

Disclosure of information to auditors

Each of the persons who are Directors at the time when this Directors' report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Post balance sheet events

Post period end, a dividend of £20,000k was paid to its parent company, Mustard Global Limited.

Going Concern

The Company's business activities, together with the factors likely to affect its future development, performance and position are set out in the Strategic Report. The Strategic Report further describes the financial position of the Company and its liquidity position. The Directors Report describes the Company's objectives, policies, and processes for managing its capital; its financial risk management objectives; details of its financial instruments and hedging activities; and its exposure to credit risk and liquidity risk.

The Directors have assessed the Balance Sheet and likely future cash flows of the Company at the date of approving the financial statements. The Directors believe that the company is well placed to manage its business risks successfully despite the current economic climate.

Further details regarding the adoption of the going concern basis can be found in note 2.3 in the financial statements.

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DIRECTORS' REPORT (CONTINUED)
FOR THE PERIOD ENDED 31 DECEMBER 2022

Auditors

The auditors, BDO LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

Each of the persons who is a Director at the date of approval of this report confirms that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the Director has taken all the steps that he/she ought to have taken as a Director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

This report was approved by the board and signed on its behalf.

DocuSigned by:
Elizabeth Houghton
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Elizabeth Houghton
Director

Date: 19 July 2023

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DIRECTORS' RESPONSIBILITIES STATEMENT FOR THE PERIOD ENDED 31 DECEMBER 2022

The Directors are responsible for preparing the Strategic report, the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial period. Under that law the Directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF SABRE RETAIL FASHION LIMITED

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2022 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Sabre Retail Fashion Limited ("the Company") for the 52 week period ended 31 December 2022 which comprise Profit and loss account, Statement of comprehensive income, Balance sheet, Statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report and Financial Statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Directors' responsibilities statement set out on page 9, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, we considered the following:

- the nature of the control environment and business performance;
- the results of our enquiries with management and the directors about their own identification of the risk of irregularities;
- any matters we identified through the review of their policies and procedures; and
- the matters discussed amongst the audit engagement team regarding how and where fraud might occur in the financial statements.

We gained an understanding of the legal and regulatory framework in which the Company operates along with the industry through the enquires with management and review of relevant documentation and considered the risk of fraud and non-compliance with applicable laws and regulations. These included the Companies Act 2006, employment law and tax legislation.

There were no matters or non-compliance or fraud that were communicated to the audit engagement team. The engagement team was deemed to collectively have the appropriate competence and capabilities to identify or recognise non-compliance with laws and regulations. We communicated relevant identified laws and regulations and potential fraud risks to all engagement team members and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our procedures included but were not limited to assessing the susceptibility of the Company's financial statements to material misstatement, including how fraud might occur, by meeting with management to understand where it is considered there was a susceptibility of fraud. We also considered potential fraud drivers: including financial or other pressures, opportunity, and personal or corporate motivations. We considered the programmes and controls that the Company has established to address risks identified, or that otherwise prevent, deter and detect fraud; and how senior management monitors those programmes and controls.

Where the risk was considered to be higher, we performed audit procedures to address each identified fraud risk, including in relation to revenue recognition and management override of controls. These procedures included:

- identifying and testing journal entries, in particular journal entries posted to revenue, unusual account combinations and journals posted by unexpected users;
- enquiries with management and those charged with governance;
- review of board minutes throughout the year and subsequent to the year-end;
- review of tax compliance and involvement of our tax experts in the audit; and
- challenging assumptions and judgement made by management in their significant accounting estimates and judgements.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:

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David Perry (Senior statutory auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK
19 July 2023

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

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SABRE RETAIL FASHION LIMITED

PROFIT AND LOSS ACCOUNT
FOR THE PERIOD ENDED 31 DECEMBER 2022

	Note	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Turnover	4	**143,675**	*117,761*
Cost of sales		**(93,244)**	*(78,374)*
Gross profit		**50,431**	*39,387*
Administrative expenses		**(21,048)**	*(15,511)*
Other operating income	5	**1,177**	*2,612*
Operating profit	6	**30,560**	*26,488*
Interest receivable and similar income	10	**151**	-
Interest payable and similar expenses	11	**(2)**	*(99)*
Profit before tax		**30,709**	*26,389*
Tax on profit	12	**(5,251)**	*(4,899)*
Profit for the financial period		**25,458**	*21,490*

The notes on pages 20 to 45 form part of these financial statements.

All activities relate to continuing operations.

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STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 31 DECEMBER 2022

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Profit for the financial period	**25,458**	*21,490*
Other comprehensive (loss)/income		
Cash flow hedges (losses)/gains arising during the period	**(342)**	*311*
Deferred tax	**85**	*(78)*
Other comprehensive (loss)/income for the period	**(257)**	*233*
Total comprehensive income for the period	**25,201**	*21,723*

The notes on pages 20 to 45 form part of these financial statements.

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SABRE RETAIL FASHION LIMITED
REGISTERED NUMBER:07920155

BALANCE SHEET
AS AT 31 DECEMBER 2022

	Note		31 December 2022 £000		*01 January 2022 £000*
Fixed assets					
Intangible assets	14		**2,840**		*2,441*
Tangible assets	15		**3,751**		*3,115*
Investments	16		**1**		*1*
			6,592		*5,557*
Current assets					
Stocks	17	**14,206**		*9,974*	
Debtors: amounts falling due within one year	18	**11,147**		*9,249*	
Current asset investments	19	**10,000**		-	
Cash and cash equivalents	20	**41,139**		*26,328*	
		76,492		*45,551*	
Creditors: amounts falling due within one year	21	**(28,200)**		*(21,465)*	
Net current assets			**48,292**		*24,086*
Total assets less current liabilities			**54,884**		*29,643*
Creditors: amounts falling due after more than one year	22		**(1,081)**		*(1,186)*
Provisions for liabilities					
Deferred tax	24	**(283)**		*(12)*	
Provisions	25	**(397)**		*(523)*	
			(680)		*(535)*
Net assets			**53,123**		*27,922*

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BALANCE SHEET (CONTINUED)
AS AT 31 DECEMBER 2022

	Note	31 December 2022 £000	*01 January 2022 £000*
Capital and reserves			
Called up share capital	26	**1**	*1*
Cash flow reserve	27	**(95)**	*162*
Profit and loss account	27	**53,217**	*27,759*
		53,123	*27,922*

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

DocuSigned by:
Elizabeth Houghton
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Elizabeth Houghton
Director
Date: 19 July 2023

The notes on pages 20 to 45 form part of these financial statements.

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STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 DECEMBER 2022

	Called up share capital	Cash flow reserve	Profit and loss account	Total equity
	£000	£000	£000	£000
At 2 January 2022	1	162	27,759	27,922
Comprehensive income for the period				
Profit for the period	-	-	25,458	25,458
Cash flow hedges gain	-	(342)	-	(342)
Deferred tax movements in respect of other comprehensive income	-	85	-	85
Total comprehensive income for the period	-	(257)	25,458	25,201
At 31 December 2022	1	(95)	53,217	53,123

The notes on pages 20 to 45 form part of these financial statements.

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STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 1 JANUARY 2022

	Called up share capital	Cash flow reserve	Profit and loss account	Total equity
	£000	£000	£000	£000
At 3 January 2021	1	(120)	31,269	31,150
Comprehensive income for the period				
Profit for the 52 week period	-	-	21,490	21,490
Cash flow hedges losses	-	311	-	311
Deferred tax movements in respect of other comprehensive income	-	(78)	-	(78)
Total comprehensive income for the period	-	233	21,490	21,723
Distributions to owners				
Equity dividends paid	-	-	(25,000)	(25,000)
Reclassification to inventory and cost of sales	-	49	-	49
At 1 January 2022	1	162	27,759	27,922

The notes on pages 20 to 45 form part of these financial statements.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

1. General information

Sabre Retail Fashion Limited is a private company, limited by shares, incorporated in England, United Kingdom under the Companies Act. The address of the registered office is given on the company information page. The nature of the Company's operations and its principal activities are set out in the Strategic Report.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention, modified to include certain items at fair value, and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemptions

The Company is exempt by virtue of section 400 of the Companies Act 2006 from the requirement to prepare group financial statements as it and its subsidiary financial statements are included in the consolidated financial statements of Mustard Global Limited. These financial statements present information about the Company as an individual.

The company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b), 12.29A and 12.30; and
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Mustard Global Limited as at 31 December 2022 and these financial statements may be obtained from Companies House.

All references to Group refer to the corporate Group headed by Mustard Global Limited and where applicable accounting policies have been aligned.

2. Accounting policies (continued)

2.3 Going concern

The Company's business activities, together with the factors likely to affect its future development, performance and position are set out in the Directors' Report. The Strategic Report describes the financial position of the Company and its liquidity position. The Directors Report describes the Company's objectives, policies and processes for managing its capital; its financial risk management objectives; details of its financial instruments and hedging activities; and its exposure to credit risk and liquidity risk.

On considering the appropriate period, the directors have considered the period to December 2024.

In adopting the going concern basis for preparing the financial statements, the Directors have considered the business activities and the Company's principal risks and uncertainties, including those arising from the current economic climate. Whilst the impact on the business may potentially be material, the Company continues to have significant liquidity headroom to ensure it meets its obligations.

At the period end, the Company has a cash balance of £41.1m (period ended 1 Jan 2022: £26.3m) and £10m on short term deposit. The Company has net current assets of £48.3m (period ended 1 Jan 2022: £24.1m).

Based on the strength of the Company's balance sheet, cash reserves and its cash projections for the period to December 2024, the Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future (which under current UK generally accepted accounting principals means a period of at least 12 months from the date of signing the financial statements).

The Company has run a prudent, de-risked base case scenario to consider the effects on its cash projections were external factors to affect the retail industry in the longer term. Therefore, the Directors have a solid expectation that the Company has adequate resources to continue in operational existence for the foreseeable future and the going concern basis is considered appropriate in preparing the financial statements.

2. Accounting policies (continued)

2.4 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is GBP.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss except when deferred in other comprehensive income as qualifying cash flow hedges.

2.5 Revenue

Turnover is recognised at the fair value of the consideration receivable for sales of goods in the ordinary course of business and excludes Value Added Tax.

Turnover from own stores and concessions is recognised at the point of sale when the goods have been provided. Turnover from wholesale and website activities is recognised on the date that the goods have been dispatched.

Revenue relating to expired gift cards is recognised once no legal obligation to honour the gift card remains. Revenue is recognised in "other income" within profit or loss.

2.6 Cost of sales

All expenses incurred in the operation of the retail channel are grouped and presented as costs of sales.

Management consider all expenses classified as cost of sale in the income statement to be directly and wholly attributable to the operation of the relevant income-generating channel.

2.7 Operating leases: the Company as lessee

Rentals paid under operating leases are charged to profit or loss on a straight-line basis over the lease term.

Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight line basis over the lease term.

2. Accounting policies (continued)

2.8 Government grants

Grants of a revenue nature are recognised in "other income" within profit or loss in the same period as the related expenditure. The Company has not directly benefited from any other forms of government assistance.

2.9 Interest income

Interest income is recognised in profit or loss using the effective interest method.

2.10 Interest expense

Interest costs are charged to profit or loss using the effective interest method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

2.11 Pensions

Defined contribution pension plan

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in profit or loss when they fall due. Amounts not paid are shown in accruals as a liability in the Balance sheet. The assets of the plan are held separately from the Company in independently administered funds.

2. Accounting policies (continued)

2.12 Current and deferred taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in the Profit and Loss Account, except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the Balance Sheet date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Balance Sheet date, except that:

- the recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits;
- any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met; and
- where they relate to timing differences in respect of interests in subsidiaries, associates, branches and joint ventures and the Company can control the reversal of the timing differences and such reversal is not considered probable in the foreseeable future.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the Balance Sheet date that are expected to apply to the reversal of timing difference.

2. Accounting policies (continued)

2.13 Intangible assets

Goodwill

Goodwill represents the difference between amounts paid on the cost of a business combination and the acquirer's interest in the fair value of the Group's share of its identifiable assets and liabilities of the acquiree at the date of acquisition. Subsequent to initial recognition, goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is amortised on a straight line basis to the Profit and Loss Account over its useful economic life, which is deemed to be 5 years.

Software

Capitalised software includes the direct costs incurred from external providers. Research costs and internally generated costs are not capitalised.

The software development costs is recognised as an intangible asset if the following criteria is met:

- Software will generate probable future economic benefits.
- There is an intention to complete the software.
- There is sufficient resources to finalise the software.
- There is the ability to use/sell the software.
- The development is technically feasible.
- Expenditure for development can be reliably measured.

Software costs are amortised on a straight line basis to the Profit and Loss Account over its useful economic life, which is deemed to be 3 to 6 years. Any softwares which are under development are held at cost, less any impairment and presented as "Assets under construction".

Other intangible assets

Intangible assets are initially recognised at cost. After recognition, under the cost model, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses. Other intangible assets are amortised on a straight line basis to the Profit and Loss Account over its useful economic life, which is deemed to be 5 years.

2.14 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

2. Accounting policies (continued)

2.14 Tangible fixed assets (continued)

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Fixtures and fittings	- 3 to 7 years
Computer equipment	- 3 to 7 years

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

2.15 Impairment of fixed assets and goodwill

Assets that are subject to depreciation or amortisation are assessed at each Balance Sheet date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit ('CGU') to which the asset has been allocated) is tested for impairment. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's (or CGU's) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Non-financial assets, apart from goodwill, that have been previously impaired are reviewed at each Balance Sheet date to assess whether there is any indication that the impairment losses recognised in prior periods may no longer exist or may have decreased.

2.16 Valuation of investments

Investments in subsidiaries are measured at cost less accumulated impairment.

Investments in jointly controlled entities are initially recognised at cost. The carrying amount is then increased or decreased to recognise the Company's share of the subsequent profit or loss of the jointly controlled entity.

2.17 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Stock is valued at landed cost on a weighted average basis.

At each Balance Sheet date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

2.18 Debtors

Short-term debtors are measured at transaction price, less any impairment.

2. Accounting policies (continued)

2.19 Cash and cash equivalents

Cash is represented by cash in hand.

2.20 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.21 Provisions for liabilities

Provisions are recognised where an event has taken place that gives the Company a present legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to profit or loss in the period that the Company becomes aware of the obligation, and are measured at the best estimate at the Balance Sheet date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When the obligations are satisfied, they are charged to the provision carried in the Balance Sheet.

2.22 Financial instruments

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from other third parties and loans to related parties.

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received.

Financial Assets and Liabilities

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Profit and Loss Account.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate of the recoverable amount, which is an approximation of the amount that the Company would receive for the asset if it were to be sold at the Balance Sheet date.

Financial assets and liabilities are offset and the net amount reported in the Balance Sheet when

2. Accounting policies (continued)

2.22 Financial instruments (continued)

there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Hedge accounting

The Company has entered into forward options to manage its exposure to currency movements on its stock purchases. These derivatives are measured at fair value at each reporting date. To the extent the hedge is effective, movements in fair value are recognised in other comprehensive income and presented in a separate cash flow hedge reserve. This amount is reclassified from the cash flow hedge reserve to profit or loss in the same period or periods during which the hedged expected future cash flows affect profit or loss. Any ineffective portions of those movements are recognised in profit or loss for the period.

2.23 Dividends

Equity dividends are recognised when they become legally payable. Interim equity dividends are recognised when paid. Final equity dividends are recognised when approved by the shareholders at an annual general meeting.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the Company's accounting policies, which are described in note 2, the Directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Critical judgements in applying the Company's accounting policies

The following are the critical judgements that the Directors have made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in the financial statements.

Impairment of tangible fixed assets
The Company tests its tangible assets whenever events or circumstances indicate that the value on the Balance Sheet may not be recoverable. For the purpose of impairment testing, each branch or separately identifiable project is used as a cash generating unit ("CGU"). The impairment tests compare the recoverable amount for each CGU to the carrying value on the Balance Sheet. The recoverable amount of a CGU is the higher of its fair value less costs to sell and value in use. If the recoverable amount is less than the carrying amount, the carrying amount of the asset is impaired and it is reduced to its recoverable amount through an impairment in profit and loss. During the period, the Company has recognised an impairment charge of £21k (period ended 1 Jan 2022: £nil) through Profit and Loss.

Key sources of estimation uncertainty

The following are the key sources of estimation uncertainty that the Directors have made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in the financial statements.

Dilapidations provision
Stores held under operating leases are reviewed annually for dilapidations. This requires managements best estimates of the costs that will be incurred based on historical trends and contractual requirements. At period end, the dilapidations provision held in the Balance Sheet was £397k (period ended 1 Jan 2022: £489k). During the period, the Company utilised £92k (period ended 1 Jan 2022: £nil) of the provision. A charge of £nil (period ended 1 Jan 2022: £241k) was charged to the Profit and Loss account.

Returns provision
The online returns provision was calculated from web order returns received in the new financial period to the distribution centre, where the original sale was recognised in the current financial period. The store returns provision was calculated using the return rate from the first two weeks of the new financial period.

At period end, the returns provision included within the Balance Sheet was £3,680k (period ended 1 Jan 2022: £2,109k). During the period, the Company recognised a net expense of £1,571k as a result of increasing the provision (period ended 1 Jan 2022: expense of £56k).

3. Judgments in applying accounting policies (continued)

Stock provision
The Company calculates a stock obsolescence provision based on the age, net reliasable value and conditions of stock currently held on the Balance Sheet. At the period end, the stock obsolescence provision included within the Balance Sheet was £662k (period ended 1 Jan 2022: £720k). During the period, the Company recognised a net income of £58k as a result of reversing the provision (period ended 1 Jan 2022: £211k expense).

Bad debt provision
Management also applies estimation when determining provisions from doubtful debts related to amounts receivable from debtors relating to the write off of the debt. At the period end, the bad debt provision included within the Balance Sheet was £nil (period ended 1 Jan 2022: £2,566k). During the period, the Company recognised an income of £74k (period ended 1 Jan 2022: £nil) in the profit and loss account.

There are no other key sources of estimation uncertainty in the Company.

4. Turnover

All turnover relates to the sale of goods net of applicable sales taxes.

Analysis of turnover by country of destination:

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
United Kingdom	**143,593**	*117,597*
Rest of the world	**82**	*164*
	143,675	*117,761*

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

5. Other operating income

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Other operating income	**965**	*962*
Royalty receivable	**212**	*46*
Government grants receivable	**-**	*1,604*
	1,177	*2,612*

Other operating income relates to expired gift cards and other miscellaneous income.

6. Operating profit

The operating profit is stated after charging / (crediting):

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Cost of stock recognised as an expense	**41,639**	*35,299*
Exchange differences	**(32)**	*(237)*
Operating lease rentals	**3,864**	*3,457*
Loss on disposal of fixed assets	**-**	*183*
Depreciation of tangible fixed assets	**1,034**	*1,063*
Amortisation of intangible fixed assets	**850**	*695*
Impairment of tangible fixed assets	**21**	*-*
Defined pension contribution	**375**	*298*

7. Auditors' remuneration

During the period, the Company obtained the following services from the Company's auditors:

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Fees payable to the Company's auditors for the audit of the Company's financial statements	**162**	*64*

The Company has taken advantage of the exemption not to disclose amounts paid for non-audit services as these are disclosed in the consolidated accounts of the parent Company.

8. Employees

Staff costs, including Directors' remuneration, were as follows:

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Wages and salaries	**16,856**	*12,590*
Social security costs	**1,374**	*809*
Cost of defined contribution scheme	**375**	*298*
	18,605	*13,697*

The average monthly number of employees, including the Directors, during the period was as follows:

	Period ended 31 December 2022 No.	*Period ended 1 January 2022 No.*
Support staff	**132**	*114*
Client service staff	**565**	*527*
Directors	**5**	*4*
	702	*645*

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9. Directors' remuneration

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Directors' emoluments	**1,198**	*726*
	1,198	*726*

The highest paid Director received remuneration of £483,000 *(period ended 1 Jan 2022 - £303,000).*

During the period, £nil (period ended 1 Jan 2022: £nil) was paid to a defined contribution pension scheme in respect of the directors.

10. Interest receivable and similar income

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Bank interest receivable	**151**	-

11. Interest payable and similar expenses

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Bank interest payable	**2**	*99*

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

12. Taxation

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Corporation tax		
Current tax on profits for the period	**4,892**	*4,605*
Adjustments in respect of previous periods	**3**	*(138)*
	4,895	*4,467*
Total current tax	**4,895**	*4,467*
Deferred tax		
Origination and reversal of timing differences	**329**	*412*
Adjustments in respect of previous periods	**27**	*134*
Effect of tax rate change on opening balance	**-**	*(114)*
Total deferred tax	**356**	*432*
Taxation on profit on ordinary activities	**5,251**	*4,899*

12. Taxation (continued)

Factors affecting tax charge for the period

The tax assessed for the period is lower than *(period ended 1 Jan 2022 - lower than)* the standard rate of corporation tax in the UK of 19% *(period ended 1 Jan 2022 - 19%)*. The differences are explained below:

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Profit on ordinary activities before tax	**30,709**	*26,388*
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2022 - 19%)	**5,835**	*5,014*
Effects of:		
Expenses not deductible for tax purposes	**51**	*33*
Fixed asset differences	**(107)**	*(126)*
Adjustments to tax charge in respect of prior periods	**3**	*(138)*
Adjustments to tax charge in respect of previous periods - deferred tax	**27**	*135*
Remeasurement of deferred tax for changes in tax rates	**58**	*(19)*
Group relief	**(616)**	-
Total tax charge for the period	**5,251**	*4,899*

Factors that may affect future tax charges

The UK corporation tax rate will remain at 19% until 31 March 2023. An increase in the UK corporation tax rate from 19% to 25% (effective from 1 April 2023) was substantively enacted on 24 May 2021.

Deferred taxes at the Balance Sheet date have been calculated using a tax rate of 25% (period ended 1 Jan 2022: 25%).

13. Dividends

	Period ended 31 December 2022 £000	*Period ended 01 January 2022 £000*
Dividends paid	**-**	*25,000*

14. Intangible assets

	Trademarks £000	Computer software £000	Goodwill £000	Total £000
Cost				
At 2 January 2022	**685**	**4,370**	**6,292**	**11,347**
Additions	**-**	**1,001**	**-**	**1,001**
Transfer from Computer Equipment	**-**	**786**	**-**	**786**
Transfer from Trademarks	**(486)**	**486**	**-**	**-**
Period ending 31 December 2022	**199**	**6,643**	**6,292**	**13,134**
Amortisation				
At 2 January 2022	**184**	**2,430**	**6,292**	**8,906**
Charge for the period on owned assets	**6**	**844**	**-**	**850**
Transfer from Computer Equipment	**-**	**538**	**-**	**538**
Period ending 31 December 2022	**190**	**3,812**	**6,292**	**10,294**
Net book value				
Period ending 31 December 2022	**9**	**2,831**	**-**	**2,840**
Period ending 01 January 2022	*501*	*1,940*	*-*	*2,441*

During the year, £486k Trademarks and £786k Computer Equipment cost was reclasified to Computer Software to better reflect the substance of the assets.

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

15. Tangible fixed assets

	Fixtures and fittings £000	Computer equipment £000	Total £000
Cost or valuation			
At 2 January 2022	**10,527**	**1,447**	**11,974**
Additions	**1,688**	**252**	**1,940**
Disposals	**-**	**(29)**	**(29)**
Transfer to Intangible Fixed Assets	**-**	**(786)**	**(786)**
Period ending 31 December 2022	**12,215**	**884**	**13,099**
Depreciation			
At 2 January 2022	**7,789**	**1,070**	**8,859**
Charge for the period on owned assets	**941**	**93**	**1,034**
Disposals	**-**	**(28)**	**(28)**
Transfer to Intangible Fixed Assets	**-**	**(538)**	**(538)**
Impairment charge	**20**	**1**	**21**
Period ending 31 December 2022	**8,750**	**598**	**9,348**
Net book value			
Period ending 31 December 2022	**3,465**	**286**	**3,751**
Period ending 01 January 2022	*2,738*	*377*	*3,115*

During the year, £786k Computer Equipment cost was reclasified to Computer Software to better reflect the substance of the assets.

Assets with a net book value of £21k (period ended 1 Jan 2022: £Nil) were impaired.

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16. Fixed asset investments

	Investments in subsidiary companies £000
At cost	
At 2 January 2022	1
At 31 December 2022	1

16. Fixed asset investments (continued)

Direct subsidiary undertakings

The following were subsidiary undertakings of the Company:

Name	Principal activity	Class of shares	Holding
Sabre Retail (Trading) Limited	Retail Ladies Fashion	Ordinary	100%
Mint Velvet Group Limited	Dormant	Ordinary	100%
Mint Velvet Retail Limited	Dormant	Ordinary	100%
Mint Velvet Fashion Limited	Dormant	Ordinary	100%
Mint Velvet Services Limited	Dormant	Ordinary	100%
Mint Velvet Europe Limited	Dormant	Ordinary	100%
Mint Velvet Trading Limited	Dormant	Ordinary	100%
Mint Velvet Clothing Limited	Dormant	Ordinary	100%
Mint Velvet Holdings Limited	Dormant	Ordinary	100%
Mint Velvet International Limited	Dormant	Ordinary	100%
Hygge Retail Limited	Dormant	Ordinary	100%
Hygge Europe Limited	Dormant	Ordinary	100%
Hygge Clothing Limited	Dormant	Ordinary	100%
Hygge Fashion Limited	Dormant	Ordinary	100%
MV Europe Limited	Dormant	Ordinary	100%
MV Fashion Limited	Dormant	Ordinary	100%
MV Retail Limited	Dormant	Ordinary	100%
Mint Velvet Property Limited	Dormant	Ordinary	100%

During the year, the join venture, Mint Velvet Switzerland AG and Mint Velvet (Ireland) Limited, a wholly owned subsidiary were dissolved.

The registered address of all subsidiaries is:

St John's Place
Easton Street
High Wycombe
HP11 1NL

For the period ended 31 December 2022, the dormant companies were entitled to exemption from audit under section 480 of the Companies Act 2006 relating to Dormant companies: conditions for exemption from audit.

17. Stocks

	31 December 2022 £000	*01 January 2022 £000*
Finished goods and goods for resale	**14,206**	*9,974*
	14,206	*9,974*

The difference between purchase price or production cost of stocks and their replacement cost is not material.

18. Debtors

	31 December 2022 £000	*01 January 2022 £000*
Trade debtors	**6,290**	*6,080*
Amounts owed by group undertakings	**667**	*948*
Other debtors	**587**	*58*
Prepayments and accrued income	**2,640**	*1,513*
Interest receivable	**83**	-
Corporation tax receivable	**803**	*489*
Derivative financial asset	**77**	*161*
	11,147	*9,249*

Amounts owed from credit cards are included within trade debtors.

Amounts owed by Group undertakings are repayable on demand.

19. Current asset investments

	31 December 2022 £000	*01 January 2022 £000*
Short term investments	**10,000**	-
	10,000	-

Short term investment relates to £10m investment in a short term deposit account.

20. Cash and cash equivalents

	31 December 2022 £000	*01 January 2022 £000*
Cash and cash equivalents	**41,139**	*26,328*

21. Creditors: Amounts falling due within one year

	31 December 2022 £000	*01 January 2022 £000*
Trade creditors	**6,826**	*6,475*
Other taxation and social security	**6,230**	*6,064*
Other creditors	**-**	*1*
Accruals and deferred income	**14,789**	*8,912*
Derivative financial liability	**355**	*13*
	28,200	*21,465*

22. Creditors: Amounts falling due after more than one year

	31 December 2022 £000	*01 January 2022 £000*
Accruals and deferred income > 1 yr	**1,081**	*1,186*

The other creditors due in more than one year relate to rent free periods for stores held under operating leases.

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23. Financial instruments

	Period ending 31 December 2022 £000	*Period ending 01 January 2022 £000*
Financial assets		
Forward foreign currency options not hedged	**77**	*161*
Financial liabilities		
Forward foreign currency options hedged	**(355)**	*(13)*

Forward foreign currency contracts are valued using quoted forward exchange rates and yield curves derived from quoted interest rates matching maturities of the contracts.

24. Deferred taxation

	Period ending 31 December 2022 £000
At beginning of period	**(12)**
Charged to profit or loss	**(356)**
Charged to other comprehensive income	**85**
At end of period	**(283)**

The provision for deferred taxation is made up as follows:

	Period ending 31 December 2022 £000	*Period ending 01 January 2022 £000*
Fixed asset timing differences	**(424)**	*(52)*
Short term timing differences	**142**	*40*
	(282)	*(12)*

25. Provisions

	Losses in joint venture £000	Dilapidation provision £000	Total £000
At 2 January 2022	**33**	**490**	**523**
Net utilised/reversed in period	**(33)**	**(93)**	**(126)**
At 31 December 2022	**-**	**397**	**397**

Provisions for dilapidations are recognised on a lease by lease basis and are based on the Company's best estimate of the likely committed cash outflow.

Dilapidation provisions are to be utilised once the Company has ceased trading in a store and all outstanding obligations to the landlord are discharged.

The provision for losses in joint venture has been fully utilised as the liquidation of the joint venture has been finalised.

26. Share capital

	31 December 2022 £000	*01 January 2022 £000*
Allotted, called up and fully paid		
824,972 *(period ended 1 Jan 2022 - 824,972)* Ordinary shares of £0.001 each	**1**	*1*

27. Reserves

Cash flow reserve

The cash flow reserve represents cumulative gains or losses in relation to financial instruments.

Profit and loss account

The profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

28. Pension commitments

A defined contribution pension scheme is operated by the company on behalf of the employees of one of the subsidiary undertakings. The assets of the scheme are held separately from those of the company in an independently administered fund.

The pension charge represents contributions payable by the company to the fund and amounted to £375,213 (period ended 1 Jan 2022: £298,034), including Company contributions amounting to £82,729 (period ended 1 Jan 2022 - £62,597) were payable to the fund at year end and are included in creditors.

29. Commitments

Commitments under operating leases

At 31 December 2022 the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	31 December 2022 £000	*01 January 2022 £000*
Not later than 1 year	**4,105**	*3,825*
Later than 1 year and not later than 5 years	**11,919**	*12,237*
Later than 5 years	**4,043**	*5,100*
	20,067	*21,162*

All operating lease commitments relate to land and buildings. There are no operating lease commitments for plant and machinery.

Capital commitments

	31 December 2022 £000	*01 January 2022 £000*
Estimated amount of contracts remaining to be executed on capital account and not provided for	**1,465**	*677*

30. Related party transactions

As the Company is a wholly owned subsidiary of Mustard Global Limited, which prepares consolidated financial statements, the Company has taken advantage of the exemption under FRS 102 Section 33 'Related Party Transactions' not to disclose transactions with entities, 100% of whose voting rights are controlled within the Group.

Other related party transactions

The total remuneration for key management personnel for the period totalled £1,197,725 (period ended 1 Jan 2022: £725,541), being remuneration disclosed in note 9.

31. Post balance sheet events

A dividend of £20,000k was paid post period end to Mustard Global Limited.

32. Controlling party

The Company's ultimate parent undertaking is LFH International Limited which is registered in Jersey. The Company's ultimate UK parent undertaking and controlling party is Mustard Holdings Limited which is registered in England. The Company's immediate parent undertaking is Mustard Global Limited which is registered in England.

Mustard Global Limited is the smallest Group of which the Company is a consolidated member and for which publicly available Group financial statements are prepared. Copies of these can be obtained from Companies House or its registered address, St Johns Place, Easton Street, High Wycombe, HP11 1NL.

LFH International Limited is the largest Group of which the Company is a consolidated member and for which Group financial statements are prepared. Copies of these can be obtained from its registered address, Block 3 Unit 7B Spectrum, Gloucester Street, St Helier, Jersey, JE2 3DA.